C06 # Configuration Decision Guide

Design Intermediate

Which configuration mechanism to use based on the situation

The fragmented configuration problem

Without a shared project configuration for Claude Code, each developer configures their environment locally, conventions drift, and nobody knows which version of the instructions is "correct". The result: inconsistent behavior depending on who runs Claude and on which machine.

The best practice comes down to a simple distinction: what belongs to the team goes into versioned files, what is personal stays local.

Decision table

File	Scope	Versioned	Typical content
`CLAUDE.md`	Team/project	Yes	Conventions, commands, architecture
`.claude/settings.json`	Team/project	Yes	Hooks, permissions, default model
`.claude/settings.local.json`	Personal	No (gitignore)	Personal permissions, preferences
`~/.claude/CLAUDE.md`	Global all sessions	No	Style, personal preferences
`~/.claude/settings.json`	Global all sessions	No	Global config

CLAUDE.md vs settings.json: what goes where

CLAUDE.md is for behavior rules: how to name files, which package manager to use, which commit conventions, architecture decisions not to revisit. It is a Markdown document readable by both humans and Claude.

settings.json is for technical configuration: which hooks to run, which tools to allow or block, which model to use by default, environment variables to inject.

```
// .claude/settings.json (team, versioned)
{
  "hooks": { "PreToolUse": [...] },
  "permissions": {
    "allow": ["Edit", "Read", "Bash"]
  }
}
```

```
// .claude/settings.local.json (personal, gitignore)
{
  "permissions": {
    "allow": ["Bash(git *)", "Bash(pnpm *)"]
  }
}
```

The 3 decision questions

Before writing a new rule or configuration, ask yourself these three questions in order:

1. **Does this change depending on the machine or OS?** If yes, `settings.local.json` or `~/.claude/`.
2. **Does the team need to share this?** If yes, `CLAUDE.md` or `.claude/settings.json` (versioned).
3. **Does this expire after the session?** If yes, pass it directly in the prompt.

Recommended minimal configuration

For a team project, the minimum configuration worth putting in place from week 1:

```
# CLAUDE.md (3 essential sections)
## Stack
- Runtime, framework, package manager

## Commands
- pnpm dev / pnpm test / pnpm lint

## Conventions
- Commit style, important rules
```

Claude automatically detects most stack elements from `package.json`, `go.mod`, or `Cargo.toml`. No need to document everything.

Personal overrides rule

`settings.local.json` is gitignored by convention. If this file is not in your `.gitignore`, add it now: personal permissions and preferences should never end up in the shared repository.